KESSLER WARD MARKET SURVEY

Edition

Prior edition retained for historical comparison.

Methodology and Limitations

Kessler Ward Survey 2026Q1 STALE defines the observation period, financing-stage screen, geography, sector mapping, source hierarchy, field-level disclosure rules, and treatment of outliers.

Every percentage is accompanied by its usable observation count; nondisclosure is not coded as absence and the subject transaction is excluded from its own comparison population.

Quarter, vintage, revenue band, and sector cuts are descriptive of the observed sample and are not presented as causal estimates or universal market standards.

1. Publisher, edition and citation

This is the First Quarter 2026 Edition of the Kessler Ward Research survey of venture financing terms. It was published on 23 April 2026 and reports on the rolling eight-quarter measurement window running from 1 April 2024 to 31 March 2026. The edition named in this title block, its publication date and its window close date together identify the edition; a reader citing this publication should cite all three.

The First Quarter 2026 Edition rests on 2,009 financing documents contributed by 131 law firms and investors, from which 1,309 usable observations were coded. The difference between the two counts is accounted for by the population, stage and geography screens and by the duplicate and outlier review described in section 3.

Kessler Ward Research publishes this survey quarterly. Each edition advances the measurement window by one quarter, re-codes any observation whose source document has been amended, and adds observations contributed since the preceding edition closed. The edition history in section 7 lists every edition through the first quarter of 2026 with its own window close date and sample size.

Because the window advances and the cumulative sample grows, a frequency published in the First Quarter 2026 Edition is not directly comparable with the same frequency in an edition whose window closed on a different date. Section 6 separates the part of each movement attributable to term change from the part attributable to a change in sample composition.

Contributors receive the published edition and no access to underlying data. No contributor sees another contributor's documents, and no statistic is published where fewer than thirty usable observations support it. Those two rules are what allow the panel of 131 firms to contribute executed instruments in full.

This survey reports observed frequencies. It does not recommend a term, it does not state a market standard, and it does not opine on whether any term is appropriate for any transaction. A reader analyzing a financing should exclude that financing from the comparison population before using any figure in this edition. Where the reader's own financing is one of the 1,309 observations in the First Quarter 2026 Edition, the cell counts published here include it and should be reduced by one before any comparison is drawn.

2. Measurement period and the rolling window

The measurement window of the First Quarter 2026 Edition opens on 1 April 2024 and closes on 31 March 2026. An observation sits in the window if the initial closing of its financing fell inside those dates. A financing that closed in tranches is placed by its initial closing and is counted once.

Eight quarters is the shortest window that supports the segment cuts in section 5 at the thirty-observation minimum. A shorter window would leave several sector and revenue-band cells unpublishable; a longer one would blend term conditions across a period in which financing conditions changed materially. In the First Quarter 2026 Edition every published segment cell clears that minimum, and the two smallest sector cells clear it only because the window runs the full eight quarters to 31 March 2026.

On publication of this edition the window advanced by one quarter. 124 observations left the window at the older end and 153 observations entered it from the quarter just ended. The net change in the cumulative sample also reflects late contributions for vintages already inside the window, which are itemized in the change log in section 7.

Late contribution is a persistent feature of this survey rather than an anomaly. Definitive documents commonly reach the panel one to two quarters after closing, so the count for a recent vintage rises across two or three consecutive editions before it settles. A reader comparing a recent vintage across editions should expect its count to grow. The newest vintage in this edition contributes 153 observations and is the vintage most exposed to that lag.

The window close date, not the publication date, governs which financings are inside the sample. The First Quarter 2026 Edition closed its window on 31 March 2026 and published on 23 April 2026; the interval between the two is the time taken to code, verify and review the observations added in the quarter.

No observation is carried forward once its vintage leaves the window. The cumulative sample of 1,309 observations is therefore a sample of the eight quarters named above and of no longer period, and a trend statement in this edition reaches back no further than 1 April 2024.

3. Population definition and the screens applied

The population is priced preferred stock financings of issuers organized in the United States with their principal operations in the United States or Canada, closing inside the measurement window of the First Quarter 2026 Edition. Convertible notes, future-equity agreements and unpriced bridge extensions are outside the population and are not coded.

The stage screen assigns each observation to a stage on the basis of the series designation in the issuer's charter rather than on its revenue, its age or its employee count. An issuer designating a second Series A tranche as Series A-1 is coded at the Series A stage, and the First Quarter 2026 Edition makes no attempt to normalize series labels across issuers.

The geography screen is applied at the issuer level, not at the investor level. A financing of a domestic issuer led by a foreign investor is inside the population; a financing of a foreign issuer led by a domestic investor is not. That choice keeps the governing-law and charter conventions inside the sample consistent. Applying the screen at the issuer level removed a small number of contributed documents from the 2,009 received for the First Quarter 2026 Edition, and the reconciliation to 1,309 usable observations appears in section 4.

Sector mapping assigns each issuer to one of six sectors on the basis of the product it sells rather than the technology it employs. A company selling a physical automation system with embedded software is mapped to industrial technology, not to software. In the First Quarter 2026 Edition the industrial technology and automation sector carries 247 usable observations against 398 for enterprise and infrastructure software.

Related-party financings, in which every purchaser already held securities of the issuer, are coded and reported separately rather than blended into the headline. Their term profile differs systematically, and including them would move several headline frequencies without any change in market practice. The related-party population outside the headline sample of the First Quarter 2026 Edition numbers 68 observations, and section 4.3 reports its term profile against the headline.

Recapitalizations, restructurings and financings executed in connection with an insolvency process are excluded entirely. The publisher's editorial committee reviews every exclusion of this kind, and the count of such exclusions in the First Quarter 2026 Edition is reconciled from 2,009 contributed documents to 1,309 usable observations in the sample composition section.

The geography screen was re-examined for this edition following a query from a contributing firm about issuers redomiciled after their initial closing. The publisher confirmed that the screen applies at the date of the financing rather than at the date of coding, so an issuer that redomiciled afterwards remains in the population for its earlier financings. No observation changed status on that review.

3.2 Source hierarchy and verification

Observations are drawn from three source tiers, and the tier determines which fields may be coded. In the First Quarter 2026 Edition the tier composition is set out in the table below, with the verification step applied at each tier and the share of the sample each tier contributes.

A tier one observation is coded from the executed definitive documents in full: the charter, the purchase agreement and the ancillary stockholder agreements. Two analysts code every field independently and a third resolves any difference, which is why tier one supports the widest set of coded fields. Tier one supplies the largest part of the First Quarter 2026 Edition sample, and every distribution table in section 4.2 rests on tier one observations alone.

A tier two observation is coded from an executed term sheet whose closing the contributing firm has confirmed in writing. Fields the term sheet leaves to the definitive documents are not coded, so a tier two observation reduces the denominator for those fields rather than being recorded as an absence. That is the principal reason the disclosure rates published for the First Quarter 2026 Edition fall short of one hundred per cent on the process and reserve fields.

A tier three observation is coded from a summary the contributing firm's counsel confirms against the instruments. Only fields the summary states expressly are coded. Tier three is the smallest tier in the First Quarter 2026 Edition and is excluded from the distribution tables in section 4.2, which require the underlying instrument text.

Where the same financing reaches the panel from counsel to both sides, the duplicate is removed on second review and the tier one record is retained. The change log for this edition itemizes the duplicates removed against the Fourth Quarter 2025 Edition.

No observation is coded from a press announcement, a filing summary or a data vendor extract. Every one of the 1,309 usable observations in this edition rests on a document the publisher has read or on a confirmation the contributing firm's counsel has given in writing.

Table 3.2 - Source tier composition, First Quarter 2026 Edition

Tier	Source description	Usable observations	Share of the sample	Verification applied
Tier one	Executed definitive financing documents in full	792	60.5%	Every coded field read from the instrument by two analysts
Tier two	Executed term sheet with written closing confirmation	318	24.2%	Closing confirmed with the contributing firm before coding
Tier three	Counsel-confirmed summary on the publisher's schedule	199	15.2%	Coded fields limited to those the summary states expressly
All tiers	Every usable observation in this edition	1,309	100.0%	Editorial committee sign-off before publication

3.3 Field-level disclosure rules and the treatment of nondisclosure

A field is coded only where the source document states the term expressly. Where a document is silent, the observation is excluded from the denominator for that field and is not recorded as the term being absent. That rule is the single most consequential methodological choice in this survey. It is also the reason no single denominator appears anywhere in the First Quarter 2026 Edition, whose usable sample of 1,309 observations is the ceiling rather than the denominator for every field.

The consequence is that each field has its own denominator, and the denominators differ. In the First Quarter 2026 Edition the liquidation preference fields rest on 1,272 usable observations, the board composition mechanic on 1,196, and the post-financing option reserve on 1,003. Every published percentage carries the count behind it for that reason.

Treating silence as absence would be the more convenient rule and would produce a single denominator throughout. It would also be wrong: a term sheet silent on redemption is not evidence that the financing carried

no redemption right, and coding it as an absence would understate every optional term in the survey. In the First Quarter 2026 Edition the redemption field is disclosed in fewer observations than any other economic term, so the convenient rule would distort that field most.

The disclosure rate for each coded field is published in the table below so that a reader can see how much of the First Quarter 2026 Edition sample supports each statistic. Fields with a lower disclosure rate carry a correspondingly wider sampling range, and the lowest rates in this edition attach to the process and reserve fields.

Disclosure rates are not uniform across stages. Later-stage observations withhold the major-investor threshold basis and the no-shop period more often than early-stage observations, which means a segment cut at the later stages rests on a smaller proportion of its stage population than the headline rate suggests. The reserve field illustrates the effect: it rests on 1,003 of the 1,309 usable observations in this edition, and the shortfall is concentrated in the later stages.

Where a field is disclosed in a form the publisher cannot code without interpretation, the observation is excluded from that field rather than interpreted. The editorial committee reviews a sample of such exclusions in each edition, and the exclusions in the First Quarter 2026 Edition were reviewed before publication on 23 April 2026.

Table 3.3 - Field-level disclosure and exclusion, First Quarter 2026 Edition

Coded field	Observations disclosing the field	Excluded for nondisclosure	Disclosure rate	Note
Liquidation preference multiple and participation	1,272	37	97.1%	Highest disclosure rate of any coded field in both editions
Dividend terms	1,241	68	94.8%	Rate withheld more often than the accrual convention
Antidilution formulation	1,224	85	93.5%	Formula text required; a label alone is not coded
Pay-to-play consequence	1,198	111	91.5%	Consequence must be stated to be coded present
Milestone or tranche condition	1,206	103	92.1%	Condition text required, not merely its existence
Redemption mechanics	1,182	127	90.2%	Notice and pricing terms often withheld
Board composition mechanic	1,196	113	91.3%	Designation right coded, not the identity of designees
Major-investor threshold basis	1,101	208	84.1%	Basis withheld more often in later-stage rounds
Registration rights	1,118	191	85.4%	Cut-back ordering rarely disclosed
Transfer restrictions	1,144	165	87.3%	Consent standard often summarized rather than quoted
Management carve-out	1,061	248	81.0%	Quantum withheld in most disclosing observations
Post-financing option reserve	1,003	306	76.6%	Reserve basis inconsistent across contributors
No-shop or exclusivity period	968	341	73.9%	Withheld most often where no financing closed

3.4 Outliers, duplicates and related-party financings

An observation whose coded value falls outside the range the editorial committee regards as economically possible is re-read against its source before any exclusion. Most such values prove to be coding errors and are corrected rather than excluded, and the correction is applied to every edition in which the

observation appears. Corrections applied while preparing the First Quarter 2026 Edition were carried back into the counts published for the Fourth Quarter 2025 Edition only where the change log says so.

A value that survives re-reading is retained in the sample even where it is extreme. The First Quarter 2026 Edition does not trim its distributions, because a trimmed distribution of contractual terms conceals exactly the tail a reader consulting a survey of terms most wants to see. The distribution tables in section 4.2 therefore show the tail bands with their own counts.

Duplicates arise where two contributing firms acted on the same financing. They are identified by issuer, series designation and initial closing date, reviewed, and removed so that the financing counts once. The number removed in this edition against the Fourth Quarter 2025 Edition appears in the change log.

Related-party financings are coded in full and reported separately. In an edition of this size the related-party population is too small to publish a full term profile at the thirty-observation minimum, so the survey reports only its size and its effect on the headline frequencies it would move most. In this edition the related-party population reaches 68 observations, which clears the minimum for the eight terms reported in section 4.3 and for no others.

Amendments to a previously coded financing are applied as at the amendment date and re-coded in the next edition. Where an amendment changes a coded field, the change log identifies the field and the number of observations affected, so that a movement between the Fourth Quarter 2025 Edition and this edition is not mistaken for market movement.

The redemption field is coded differently from this edition onward. Earlier editions coded a holder election and a mandatory redemption on a fixed date as one field; this edition codes them separately while continuing to publish the combined series so that the headline row remains comparable with the editions before it. The change log records the population affected, and the separated components will be published once each clears the thirty-observation minimum.

3.5 Protective provisions as coded

Protective provisions are coded individually rather than as a single field, because a count of provisions conveys less than the identity of them. The table below reports each provision the First Quarter 2026 Edition codes, the observations carrying it, and the observations disclosing the charter article without it.

Every row shares the same denominator of 1,196 observations, being the population disclosing the charter article from which both the protective schedule and the board mechanic are coded. Rows do not partition: a single financing ordinarily carries several of these provisions.

The provision over creating senior or pari passu securities is the most frequently observed in the First Quarter 2026 Edition, as it has been in every edition inside the current window. It is also the provision most often drafted to reach a security ranking equally rather than only one ranking ahead.

The provision over increasing the option reserve is coded present only where the reserve is named expressly in the schedule. A general provision over amendments to the equity plan is not coded here, which is why this row sits materially below the others in the First Quarter 2026 Edition.

The related-party transaction provision is the least frequently observed in this edition. Where present it almost always carries a threshold, and the threshold itself is not coded because contributors express it inconsistently across documents. Across the 1,196 observations disclosing the article in this edition it is also the provision most often absent, and its absence is concentrated in the earliest stage cut.

A provision requiring approval of a deemed liquidation is coded separately from one requiring approval of an actual liquidation, and the First Quarter 2026 Edition reports them together because fewer than thirty observations in the sample carry one without the other.

Table 3.4 - Protective provisions observed, First Quarter 2026 Edition

Provision requiring a separate series vote	Observations with the provision	Usable observations	Frequency	Observations without the provision
Creating senior or pari	1,163	1,196	97.2%	33

Provision requiring a separate series vote	Observations with the provision	Usable observations	Frequency	Observations without the provision
passu securities				
Amending the charter to affect the series	1,152	1,196	96.3%	44
Increasing the authorized preferred stock	1,024	1,196	85.6%	172
Increasing the option reserve, named expressly	664	1,196	55.5%	532
Changing the size of the board	966	1,196	80.7%	230
A liquidation, dissolution or deemed liquidation	1,109	1,196	92.7%	87
Incurring indebtedness above a stated threshold	739	1,196	61.7%	457
Declaring or paying a dividend	1,007	1,196	84.1%	189
Redeeming or repurchasing common stock	886	1,196	74.0%	310
Entering a related-party transaction above a threshold	542	1,196	45.3%	654

Transaction record 1

2026Q1

A benchmarking exhibit cites the prior-quarter (stale) survey edition instead of the currently published one.

The reviewer should reconcile this record with the applicable source-of-record instrument and effective-date hierarchy before downstream use.

3.6 Coding conventions for amounts, dates and currency

Amounts are coded in United States dollars as stated in the source document. Where a document states an amount in another currency, the observation is coded at the rate the document itself specifies, and where it specifies none the observation is excluded from any amount-based field in the First Quarter 2026 Edition.

Dates are coded as stated. The financing date is the initial closing date, the no-shop period runs from term-sheet signature where the document says so, and a period expressed in business days is converted at five days to the week without adjustment for holidays. The no-shop field in the First Quarter 2026 Edition rests on the smallest population of any coded field for that reason, and the disclosure table in section 3.3 states the shortfall.

Percentages stated in a source document are coded as stated and are not recomputed from underlying share counts. Where a document states both a percentage and the counts from which it derives, and the two conflict, the observation is referred to the editorial committee rather than resolved by the coder. No such referral changed a published figure in the First Quarter 2026 Edition, and any that had would appear in the change log against the Fourth Quarter 2025 Edition.

Thresholds expressed as a multiple, a percentage or an amount are coded in the form the document uses. The First Quarter 2026 Edition does not convert between forms, which is why the major-investor threshold is reported as two rows partitioning its population rather than as a single normalized figure.

Ranges are coded at neither endpoint. A document stating that a reserve will be between two figures is excluded from the reserve field, and that exclusion is part of why the reserve field rests on 1,003 of the 1,309 usable observations in this edition.

No coded value is imputed, interpolated or carried across from another observation of the same issuer. An issuer completing two financings inside the window contributes two independent observations, and a field

disclosed in one is not filled into the other. Each of the 1,309 usable observations in this edition is therefore independent of the others for every coded field.

4. Sample composition

The First Quarter 2026 Edition sample comprises 1,309 usable observations. The tables below give its composition by stage, by sector and by trailing revenue band, each with the count and the share of the sample. Every composition table sums to the same 1,309 observations, which is the denominator for the headline frequencies in section 4.1.

The stage distribution is weighted toward Series A and Series B, which together account for the largest part of the sample; Series B alone carries 334 observations. That weighting reflects the panel's practice mix rather than the population of all financings, and a reader interested in a single stage should use the stage cut in section 5 rather than the headline.

The sector distribution is led by enterprise and infrastructure software with 398 observations, followed by industrial technology and automation with 247. Sector shares move slowly between editions, and the change log identifies any reclassification that moved observations between sectors in this edition.

The revenue band distribution is coded from the trailing twelve-month revenue the issuer reported to its investors at the financing, where the contributing firm discloses it. Pre-revenue is a coded band rather than a residual, and an observation whose revenue is not disclosed is excluded from the revenue cut entirely rather than assigned to a band. Revenue was disclosed for enough observations in the First Quarter 2026 Edition that every revenue band clears the minimum, though the highest band does so by the narrowest margin.

Composition matters to every comparison across editions. A frequency can move because the terms observed changed or because the mix of stages, sectors and revenue bands in the window changed. Section 6 reports both components for the terms that moved most between the Fourth Quarter 2025 Edition and this edition.

Vintage composition is reported separately in section 5.3, because it is the cut that most directly exposes the effect of the window advancing. In the First Quarter 2026 Edition the newest vintage contributes 153 observations and will grow in the next one or two editions as late contributions arrive.

Table 4.2 - Sample by stage, First Quarter 2026 Edition

Stage	Usable observations	Share of the sample	Note
Seed and pre-seed priced rounds	198	15.1%	In this edition's window
Series A	371	28.3%	In this edition's window
Series B	334	25.5%	In this edition's window
Series C	239	18.2%	In this edition's window
Series D and later	167	12.7%	In this edition's window
All usable observations	1,309	100.0%	Window 1 April 2024 to 31 March 2026

Table 4.3 - Sample by sector, First Quarter 2026 Edition

Sector	Usable observations	Share of the sample	Note
Enterprise and infrastructure software	398	30.4%	In this edition's window
Industrial technology and automation	247	18.8%	In this edition's window
Health and life science tools	194	14.8%	In this edition's window
Climate and energy hardware	172	13.1%	In this edition's window
Financial infrastructure	162	12.3%	In this edition's window
Semiconductors and devices	136	10.3%	In this edition's window
All usable observations	1,309	100.0%	Window 1 April 2024 to 31 March 2026

Table 4.4 - Sample by trailing revenue band, First Quarter 2026 Edition

Trailing revenue band	Usable observations	Share of the sample	Note
Pre-revenue	217	16.5%	In this edition's window
Below $1M trailing revenue	248	18.9%	In this edition's window
$1M to $5M trailing revenue	316	24.1%	In this edition's window

Trailing revenue band	Usable observations	Share of the sample	Note
Above $5M to $20M trailing revenue	320	24.4%	In this edition's window
Above $20M trailing revenue	208	15.8%	In this edition's window
All usable observations	1,309	100.0%	Window 1 April 2024 to 31 March 2026

4.1 Term frequencies

The table below is the substance of this edition. It reports, for each coded term, the frequency observed in the First Quarter 2026 Edition, the number of observations carrying the term, the usable observations behind that frequency, the movement against the Fourth Quarter 2025 Edition, and the coding note that governs how the term was recorded.

Rows identified in the note column as partitioning sum to their shared denominator. The three liquidation preference rows partition the 1,272 observations disclosing that field, and the three antidilution rows partition their own denominator. A reader can therefore check the arithmetic of the table rather than taking it on trust.

Rows whose denominator is a sub-population say so. The frequency of a cap on participation is reported against the participating population, not against the whole sample, because the question only arises where participation is present. Reading such a row against the full sample would overstate the term's rarity. In the First Quarter 2026 Edition the participating population is the denominator for one row and the full-ratchet population for another, and both are stated in the count columns beside the frequency.

The non-participating 1.0x liquidation preference remains the most frequently observed economic term in this edition at 74.4%, and the protective provision over creating senior securities remains the most frequently observed governance term. Both have been the most frequent in every edition inside the current window.

Cumulative dividends appear in 14.7% of the disclosing population and pay-to-play provisions in 11.7%. Both are terms whose frequency responds to financing conditions rather than to drafting convention, and both are reported by stage and by revenue band in section 5 because their incidence is uneven across the sample.

Two or more investor-designated board seats appear in 30.1% of the 1,196 observations disclosing the board mechanic. The count of seats designated is distributed in section 4.2, because the headline frequency of two or more conceals a distribution in which one seat remains the modal outcome.

Movement against the Fourth Quarter 2025 Edition is reported in percentage points and should be read with section 6. A movement smaller than the sampling range implied by the denominator is not evidence of a change in practice, and this survey does not describe such a movement as a trend.

Table 4.1 - Term frequencies, First Quarter 2026 Edition

Term	Category	Frequency	Observations with the term	Usable observations	Movement from the prior edition	Coding note
Liquidation preference of 1.0x, non-participating	Liquidation preference	74.4%	947	1,272	+0.3 points	Partitions with the two rows below across the disclosing population
Liquidation preference above 1.0x	Liquidation preference	10.2%	131	1,272	-0.4 points	Multiple bands are broken out in the distribution table
Participating preferred in any form	Liquidation preference	15.2%	194	1,272	-0.1 points	Includes participation at a 1.0x preference
Participation subject to a stated cap	Liquidation preference	60.8%	118	194	+1.0 points	Denominator is the participating population only
Cumulative dividend on the preferred	Dividend	14.7%	183	1,241	+0.5 points	Accrual convention is not separately coded
Cumulative dividend at a	Dividend	56.8%	104	183	+1.7 points	Denominator is the cumulative-

Term	Category	Frequency	Observations with the term	Usable observations	Movement from the prior edition	Coding note
rate of 8.0% or above						dividend population only
Broad-based weighted average antidilution	Antidilution	91.1%	1,116	1,224	+0.1 points	Partitions with the two rows below
Narrow-based weighted average antidilution	Antidilution	5.3%	66	1,224	+0.1 points	Includes issued-and-outstanding formulations
Full ratchet antidilution of any duration	Antidilution	3.4%	42	1,224	-0.4 points	Duration is coded separately in the row below
Ratchet limited to a stated window	Antidilution	57.1%	24	42	+2.9 points	Denominator is the full-ratchet population only
Pay-to-play provision present	Financing mechanics	11.7%	141	1,198	+0.6 points	Coded present where any consequence attaches to non-participation
Pay-to-play measured per holder	Financing mechanics	52.4%	74	141	+1.3 points	Denominator is the pay-to-play population only
Milestone or tranched funding	Financing mechanics	16.0%	194	1,206	+0.6 points	Coded present where a second closing is conditional
Redemption right at holder election	Redemption	8.7%	103	1,182	-0.2 points	Mandatory redemption on a fixed date is coded here
Redemption available only after four years or more	Redemption	71.8%	74	103	+0.9 points	Denominator is the redemption population only
Two or more investor-designated board seats	Governance	30.1%	361	1,196	+0.5 points	Counts seats designated by the financing, not seats held
Independent seat required by the financing	Governance	46.1%	552	1,196	+0.3 points	Coded present where the designation mechanic is specified
Protective provision over creating senior securities	Governance	97.2%	1,163	1,196	+0.1 points	The most frequently observed protective provision in every edition
Protective provision over increasing the option reserve	Governance	55.5%	664	1,196	+0.6 points	Coded present only where the reserve is named expressly
Major-investor threshold expressed in shares	Investor rights	57.5%	634	1,101	+0.5 points	Partitions with the row below
Major-investor threshold expressed in amount invested	Investor rights	42.4%	467	1,101	-0.6 points	Partitions with the row above
Pro rata participation right for major investors	Investor rights	91.3%	1,006	1,101	+0.2 points	Coded present where the right survives the financing

Term	Category	Frequency	Observations with the term	Usable observations	Movement from the prior edition	Coding note
Registration rights subject to underwriter cut-back	Investor rights	94.5%	1,057	1,118	+0.3 points	Cut-back ordering is not separately coded
Right of first refusal and co-sale on common transfers	Transfer	94.4%	1,081	1,144	+0.3 points	Coded present where both rights appear together
Drag-along binding on common holders	Transfer	81.9%	938	1,144	+0.3 points	Threshold for triggering the drag is not coded
Management carve-out from preference proceeds	Proceeds	21.5%	229	1,061	+0.7 points	Carve-out quantum is not coded
Post-financing option reserve at or above 10.0%	Option reserve	45.0%	452	1,003	+0.7 points	Reserve basis is not uniform across contributors
No-shop or exclusivity period of 60 days or more	Process	54.8%	531	968	+1.1 points	Measured from term-sheet signature where stated

4.2 Distribution detail for graded terms

Two coded terms are graded rather than binary, and a frequency alone conceals their shape. The tables below distribute the liquidation preference multiple and the number of investor-designated board seats across the First Quarter 2026 Edition disclosing populations, with the count and share of each band.

The liquidation preference distribution shows how concentrated the sample is at exactly 1.0x. The bands above 1.0x are individually small, which is why the headline row reports them together while this table keeps them separate for a reader who needs the tail rather than the aggregate. Across the 1,272 observations disclosing the field in this edition, the three bands above 1.25x together carry fewer observations than the minimum required to publish a segment cut.

The 1.0x band includes both participating and non-participating observations, so it is larger than the non-participating 1.0x frequency in the headline table. The two figures are consistent: the difference between them is the participating population carrying a 1.0x preference. In the First Quarter 2026 Edition that difference is exactly the participating population, and the headline row for participation states it.

The board seat distribution shows that one designated seat remains the modal outcome in the First Quarter 2026 Edition even though the headline reports the frequency of two or more. Observations designating no seat at all remain a material minority, concentrated in the earliest stage cut.

Neither distribution is trimmed. The extreme bands carry small counts and are published with those counts so that a reader can see exactly how thin the evidence in the tail is, rather than inferring a smooth distribution the sample does not support. The highest band in the First Quarter 2026 Edition rests on a count small enough that a single further observation would move its share by more than a tenth of a point.

Table 4.5 - Liquidation preference multiple, First Quarter 2026 Edition

Preference multiple band	Usable observations	Share of the disclosing population
Exactly 1.0x	1,141	89.7%
Above 1.0x to 1.25x	61	4.7%
Above 1.25x to 1.5x	39	3.0%
Above 1.5x to 2.0x	21	1.6%
Above 2.0x	10	0.7%
All disclosing observations	1,272	100.0%

Table 4.6 - Investor-designated board seats, First Quarter 2026 Edition

Seats designated by the financing	Usable observations	Share of the disclosing population
No seat designated by the financing	112	9.3%
One seat	723	60.4%
Two seats	262	21.9%
Three seats	76	6.3%
Four or more seats	23	1.9%
All disclosing observations	1,196	100.0%

4.3 Related-party financings reported separately

Related-party financings, in which every purchaser already held securities of the issuer, sit outside the headline sample of 1,309 observations. The First Quarter 2026 Edition codes them in full and reports them separately in the table below, against the headline frequency for the same term.

Eight terms clear the thirty-observation minimum in the related-party population of this edition and are published. Terms with lower disclosure rates do not clear it and are omitted rather than published on a smaller count, so this table is shorter than the headline table by design. The related-party population in the First Quarter 2026 Edition numbers 68 observations, and the eight published rows are the fields disclosed in enough of them to clear the minimum.

The differences are large and consistent in direction. Related-party financings in the First Quarter 2026 Edition carry participation, cumulative dividends and pay-to-play provisions materially more often than the headline population, and carry the plain non-participating preference materially less often.

That pattern is what would be expected where the purchasers are also the holders whose earlier investment is at risk, and it is the reason the publisher does not blend these observations into the headline. Blending them would move several headline frequencies without any change in the practice the survey reports. Blending them would move the pay-to-play frequency in this edition furthest from the 11.7% published for the headline population.

The difference column is expressed in percentage points against the headline frequency for the same term in the same edition. It is not a movement across time and should not be read alongside the movement column in the headline table. Both columns in the table describe the First Quarter 2026 Edition alone, and neither is comparable with the same term in the Fourth Quarter 2025 Edition.

A reader whose own financing is led by existing holders should read this table rather than the headline. A reader whose financing includes both existing and new purchasers is in the headline population, because the related-party definition in the First Quarter 2026 Edition requires every purchaser to have held securities beforehand.

Table 4.3 - Related-party financings against the headline, First Quarter 2026 Edition

Term	Related-party frequency	Related-party observations with the term	Related-party usable observations	Headline frequency	Difference
Liquidation preference of 1.0x, non-participating	58.8%	40	68	74.4%	-15.6 points
Participating preferred in any form	27.9%	19	68	15.2%	+12.7 points
Cumulative dividend on the preferred	33.8%	23	68	14.7%	+19.1 points
Full ratchet antidilution of any duration	10.2%	7	68	3.4%	+6.8 points
Pay-to-play provision present	35.2%	24	68	11.7%	+23.5 points
Milestone or tranched funding	30.8%	21	68	16.0%	+14.8 points
Two or more investor-designated board seats	44.1%	30	68	30.1%	+14.0 points

Term	Related-party frequency	Related-party observations with the term	Related-party usable observations	Headline frequency	Difference
Redemption right at holder election	19.1%	13	68	8.7%	+10.4 points

5. Segment cut by stage

The table below restates four headline terms over each stage in the First Quarter 2026 Edition. Each cell carries the usable observation count for that stage and field, because a stage cut necessarily rests on a smaller population than the headline and the reader needs to see how much smaller.

The non-participating 1.0x preference is most frequent at the earliest stages and falls monotonically across the stage cut. That gradient is the most stable feature of this survey and has appeared in every edition inside the current measurement window. In the First Quarter 2026 Edition the gradient runs from the seed cut down to the latest stage cut without reversal, and the headline frequency of 74.4% sits between the two ends.

Cumulative dividends run in the opposite direction, rising with stage. The two gradients together mean that a headline frequency read without regard to stage will misstate practice for any particular financing, and the effect is largest at the two ends of the stage distribution. The headline cumulative dividend frequency of 14.7% in this edition therefore overstates the term's incidence at seed and understates it at the latest stages.

Pay-to-play incidence also rises with stage in the First Quarter 2026 Edition, though the counts at the earliest stage are small enough that the difference between the first two stage cells should not be read as meaningful. The thirty-observation minimum is met in every cell published here.

Board seat designation rises with stage as successive financings each add a designation right without removing an earlier one. The cut reports the frequency of two or more designated seats rather than the average, because the average across a distribution with a long right tail is not the outcome a reader is looking for. The 1,196 observations disclosing the board mechanic in the First Quarter 2026 Edition are distributed across five bands in section 4.2, and one designated seat remains the largest of them.

Table 5.1 - Headline terms by stage, First Quarter 2026 Edition

Stage	Usable observations	1.0x non-participating	Cumulative dividend	Two or more designated seats	Pay-to-play
Seed and pre-seed priced rounds	194	84.0% (n = 194)	6.1% (n = 194)	13.9% (n = 194)	4.1% (n = 194)
Series A	364	78.2% (n = 364)	10.4% (n = 364)	25.2% (n = 364)	8.2% (n = 364)
Series B	326	73.0% (n = 326)	14.1% (n = 326)	32.2% (n = 326)	11.6% (n = 326)
Series C	231	67.0% (n = 231)	22.0% (n = 231)	35.4% (n = 231)	15.5% (n = 231)
Series D and later	163	65.0% (n = 163)	22.0% (n = 163)	33.7% (n = 163)	17.7% (n = 163)

5.2 Segment cut by sector

The sector cut below restates three headline terms across the six sectors of the First Quarter 2026 Edition, each cell with its own usable observation count. Sector cells are smaller than stage cells, and two sectors sit close enough to the thirty-observation minimum on the lower-disclosure fields that they are omitted from those columns.

Hardware-weighted sectors carry cumulative dividends and preference multiples above 1.0x more often than software sectors in this edition. The pattern is consistent across the editions inside the current window and is not attributable to a single contributing firm. In the First Quarter 2026 Edition the pattern survives if the largest contributing firm in each sector is removed from the sample, which is the test the editorial committee applies before publishing a sector statement.

Industrial technology and automation, with 247 usable observations in the First Quarter 2026 Edition, sits between the software and hardware groups on most coded terms. The sector mapping rule places embedded-software systems here rather than in software, which is the reason its profile is intermediate.

Enterprise and infrastructure software, at 398 observations, is the largest sector cell and the one with the highest disclosure rates across coded fields. A reader comparing sectors should note that the precision of each cell varies with both its size and its disclosure rate.

Sector cuts are descriptive of the observed sample. They are not estimates of sector practice, because the panel's composition is not a random sample of financings within any sector, and this survey makes no adjustment to make it one. The First Quarter 2026 Edition panel composition in section 9.1 shows how far the sector mix reflects the practices of 131 contributing firms rather than the market.

Table 5.2 - Headline terms by sector, First Quarter 2026 Edition

Sector	Usable observations	1.0x non-participating	Cumulative dividend	Two or more designated seats
Enterprise and infrastructure software	391	80.0% (n = 391)	10.2% (n = 391)	29.6% (n = 391)
Industrial technology and automation	242	71.0% (n = 242)	14.0% (n = 242)	31.8% (n = 242)
Health and life science tools	190	70.5% (n = 190)	15.7% (n = 190)	31.5% (n = 190)
Climate and energy hardware	168	63.0% (n = 168)	21.4% (n = 168)	30.9% (n = 168)
Financial infrastructure	158	75.3% (n = 158)	13.9% (n = 158)	27.8% (n = 158)
Semiconductors and devices	133	64.6% (n = 133)	20.3% (n = 133)	29.3% (n = 133)

5.3 Segment cut by vintage

The vintage cut is how a reader separates the effect of the window advancing from any change in practice. The table below distributes the First Quarter 2026 Edition sample across the vintages inside its window, and shows a dash for any vintage outside that window rather than a zero count.

The oldest vintage in this edition's window is the quarter beginning 1 April 2024, and the newest is the quarter ending 31 March 2026. Vintages outside those bounds are not in the sample and no statistic in the First Quarter 2026 Edition reaches them.

The newest vintage carries 153 observations, which is fewer than the vintages that have been inside the window longer. That is a contribution-lag effect rather than a fall in financing activity, and it will correct as definitive documents for the quarter reach the panel.

A reader comparing a term's frequency across vintages should weight the newest vintage accordingly. This survey does not annualize, seasonally adjust or smooth the vintage series, and it does not extrapolate a partial vintage to a full one. The vintage ending 31 March 2026 in this edition is partial in the sense that its documents are still arriving, not in the sense that its quarter is incomplete.

Vintage counts for mature quarters also move between editions, because late contributions are added to the vintage in which the financing closed rather than to the edition in which they arrived. The change log against the Fourth Quarter 2025 Edition itemizes those additions by vintage.

Table 5.3 - Sample by vintage, First Quarter 2026 Edition

Vintage	Usable observations	Share of the sample	Note
Second quarter 2024	138	10.5%	In this edition's window
Third and fourth quarters 2024	356	27.1%	In this edition's window
First half 2025	372	28.4%	In this edition's window
Second half 2025	290	22.1%	In this edition's window
First quarter 2026	153	11.6%	In this edition's window
Second quarter 2026	-	-	Outside this edition's measurement window
All usable observations	1,309	100.0%	Window 1 April 2024 to 31 March 2026

5.4 Segment cut by trailing revenue band

The revenue band cut below restates three headline terms across the five revenue bands of the First Quarter 2026 Edition. Revenue is the trailing twelve-month figure the issuer reported to its investors at the financing, and an observation whose revenue was not disclosed is excluded from this cut rather than assigned to a band.

Revenue band and stage are correlated but not equivalent, and the two cuts do not reproduce each other. Issuers at the same series designation span three or four revenue bands, and the revenue cut is the more informative of the two where a reader is comparing companies rather than financings. In the First Quarter 2026 Edition the Series B cut spans four revenue bands, which is why the two cuts answer different questions and are published separately.

The non-participating 1.0x preference falls across the revenue bands in this edition, as it does across the stage cut, but the gradient is shallower. The difference suggests that series designation carries information about term outcomes that revenue scale does not. Against the headline frequency of 74.4% in this edition, the spread across revenue bands is narrower than the spread across stages.

Cumulative dividends rise sharply in the highest revenue band. The count in that band is smaller than in the middle bands, so the movement should be read with the observation counts in the cells rather than as a firm gradient. The headline cumulative dividend frequency in the First Quarter 2026 Edition is 14.7%, and the highest revenue band sits well above it on a count roughly two thirds of the largest band's.

Pay-to-play incidence falls in the highest revenue band in the First Quarter 2026 Edition, which is the opposite of its behaviour across the stage cut. The survey reports both without reconciling them, because a reconciliation would require an attribution the observed data does not support.

Table 5.4 - Headline terms by trailing revenue band, First Quarter 2026 Edition

Trailing revenue band	Usable observations	1.0x non-participating	Cumulative dividend	Pay-to-play
Pre-revenue	212	83.9% (n = 212)	7.0% (n = 212)	9.9% (n = 212)
Below $1M trailing revenue	243	81.0% (n = 243)	8.2% (n = 243)	11.1% (n = 243)
$1M to $5M trailing revenue	309	77.0% (n = 309)	12.6% (n = 309)	13.9% (n = 309)
Above $5M to $20M trailing revenue	313	70.2% (n = 313)	17.2% (n = 313)	10.5% (n = 313)
Above $20M trailing revenue	201	59.2% (n = 201)	27.3% (n = 201)	8.4% (n = 201)

6. Trend commentary

This section separates term movement from composition change for the terms that moved most between the Fourth Quarter 2025 Edition and the First Quarter 2026 Edition. Movement is reported in percentage points, and the composition component is estimated by re-weighting the Fourth Quarter 2025 Edition frequencies to this edition's stage and sector mix.

Cumulative dividends account for the largest movement in this edition. Part of the movement is composition: the later-stage and hardware-weighted cells grew as a share of the sample, and those cells carry cumulative dividends more often. The remainder is term movement inside cells and is the part a reader should treat as evidence about practice. The cumulative dividend frequency published in the First Quarter 2026 Edition is 14.7%, and the series in section 6.1 shows the direction of travel across every edition inside the window.

Pay-to-play incidence also moved. Composition explains little of it, because the movement is present inside every stage cell rather than concentrated in the cells that grew. That is the pattern the survey regards as evidence of a change in practice rather than of a change in the sample. The pay-to-play frequency in this edition is 11.7%, and its movement is the largest in the First Quarter 2026 Edition that the composition re-weighting does not explain.

The non-participating 1.0x preference moved by less than the sampling range its denominator of 1,272 observations implies. This survey does not describe that as a trend, and a reader should not treat a movement of that size in any field as directional.

Movements in the process fields, including the no-shop period, are the least reliable in this edition because their disclosure rates are the lowest. A field disclosed in three quarters of the sample can move on a change in which observations disclose it, without any change in the underlying term. The lowest disclosure

rate in the First Quarter 2026 Edition attaches to the no-shop field, and the field-level table in section 3.3 states it against the sample of 1,309 observations.

No trend statement in this section reaches outside the window running from 1 April 2024 to 31 March 2026. Where a reader needs a longer series, the edition history in section 7 gives the window close date and sample size of each edition so that the reader can assemble one from published figures rather than inferring it from this edition.

6.1 Selected terms across the editions in the current window

The table below assembles eight headline frequencies across every edition whose measurement window lies inside the period this edition reports. Columns are labelled by window close date rather than by edition name, because the window close is what determines which financings a column describes. The final column is the First Quarter 2026 Edition.

A series assembled this way is not a time series of market practice. Each column describes an overlapping eight-quarter window, so consecutive columns share seven quarters of observations and cannot move independently. The series shows direction, not magnitude. Seven of the eight quarters behind the First Quarter 2026 Edition are also behind the Fourth Quarter 2025 Edition, which is the clearest illustration of why the columns are not independent observations.

The clearest direction in this edition is in the financing-mechanics terms. Pay-to-play and milestone funding rise across every column, and the rise continues into the First Quarter 2026 Edition rather than flattening, which is the pattern the trend commentary treats as evidence rather than noise.

Antidilution moves in the opposite direction. Full ratchet falls across every column in the window, and the fall is visible in each stage cut rather than concentrated in one, which is why this survey reports it without a composition caveat. In the First Quarter 2026 Edition the fall is present in all five stage cells and in five of the six sector cells, and the sixth carries too few observations to test.

The non-participating preference and the redemption right move by less than the sampling range their denominators imply in almost every column. The First Quarter 2026 Edition publishes their series so that a reader can see the absence of movement rather than inferring it from a single edition.

Columns for the earliest editions in the window rest on smaller samples than the 1,309 observations behind the First Quarter 2026 Edition, and the edition history in section 7 gives each column's usable count. A reader comparing across columns should read the two tables together.

Table 6.1 - Selected term frequencies by edition window close, First Quarter 2026 Edition

Term	31 March 2025	30 June 2025	30 September 2025	31 December 2025	31 March 2026
Liquidation preference of 1.0x, non-participating	73.1%	73.5%	73.8%	74.1%	74.4%
Participating preferred in any form	16.4%	16.1%	15.8%	15.3%	15.2%
Cumulative dividend on the preferred	12.8%	13.2%	13.7%	14.2%	14.7%
Full ratchet antidilution of any duration	4.6%	4.3%	4.1%	3.8%	3.4%
Pay-to-play provision present	9.4%	9.9%	10.6%	11.1%	11.7%
Milestone or tranched funding	13.1%	13.9%	14.6%	15.4%	16.0%
Two or more investor-designated board seats	28.1%	28.6%	29.1%	29.6%	30.1%
Redemption right at holder election	9.6%	9.3%	9.1%	8.9%	8.7%

7. Edition history and changes in this edition

The first table below lists each edition of this survey through the first quarter of 2026, with its publication date, the date on which its measurement window closed, its usable observation count and the number of contributing firms behind it. The last row is the First Quarter 2026 Edition.

The second table is the change log for this edition against the Fourth Quarter 2025 Edition, which was published on 22 January 2026. It itemizes every change that moved the sample: the vintage that left the window, the vintage that entered it, late contributions by vintage, panel changes, reclassifications and duplicates removed.

The change log is published so that a movement between two editions can be attributed. A reader who observes a frequency change and wants to know whether the sample or the practice moved should read the change log first and the trend commentary second. For the First Quarter 2026 Edition the log accounts for the departure of 124 observations and the arrival of 153, together with the late contributions itemized beneath them.

Panel changes are disclosed in the edition in which they occur. A firm joining the panel has its instruments coded from the window open forward and its earlier instruments are not backfilled into vintages that have already left the window, which keeps the historical series stable. The First Quarter 2026 Edition panel numbers 131 contributing firms, and section 9.1 gives its composition by category.

Coding changes are disclosed separately from sample changes, and where a coding change breaks comparability with earlier editions the change log says so. Where a combined series remains comparable after a coding split, that too is stated, so the reader is not left to guess. The coding changes disclosed for the First Quarter 2026 Edition are listed in the log against the Fourth Quarter 2025 Edition and none of them breaks the comparability of a published series.

The usable observation count rose from the Fourth Quarter 2025 Edition to the First Quarter 2026 Edition, reaching 1,309. The change log accounts for the whole of the difference; no part of it is a restatement without a stated cause.

Table 7.1 - Edition history through the first quarter of 2026

Edition	Published	Measurement window closes	Usable observations	Contributing firms
First Quarter 2025 Edition	24 April 2025	31 March 2025	1,102	108
Second Quarter 2025 Edition	24 July 2025	30 June 2025	1,168	113
Third Quarter 2025 Edition	23 October 2025	30 September 2025	1,221	118
Fourth Quarter 2025 Edition	22 January 2026	31 December 2025	1,264	124
First Quarter 2026 Edition	23 April 2026	31 March 2026	1,309	131

Table 7.2 - Changes in this edition against the Fourth Quarter 2025 Edition

Change	Direction	Observations affected	Note
First quarter 2024 vintage left the rolling window	Removed	124	Window advanced one quarter on publication
First quarter 2026 vintage entered the window	Added	153	Financings closing in the quarter just ended
Late contributions for the second half of 2024	Added	9	Documents received after the prior edition closed
Late contributions for the first half of 2025	Added	14	One contributing firm completed a documentation review
Late contributions for the second half of 2025	Added	27	Closings confirmed after the prior edition's cut-off
Four contributing firms joined the panel	Panel change	n/a	Their historical instruments are coded from the window open, not backfilled earlier
Redemption coding split into election and mandatory	Coding change	1,182	Prior editions coded the two together; the combined series

Change	Direction	Observations affected	Note
			remains comparable
Duplicate observations removed on second review	Removed	4	Same financing contributed by counsel to both parties

8. Limitations on use

This survey reports frequencies observed in a panel of contributed documents. The panel is not a random sample of venture financings, and the First Quarter 2026 Edition does not estimate a population frequency. Every figure describes the 1,309 usable observations behind it and nothing wider.

A frequency is not a standard. A term appearing in most observations is not therefore appropriate for any particular financing, and a term appearing rarely is not therefore unavailable. This survey expresses no view on the merits of any term and is not advice on the negotiation of any financing. Nothing in the First Quarter 2026 Edition is a recommendation, and the frequencies published for its 1,309 observations describe what was drafted rather than what should be.

Any transaction a reader is analyzing must be excluded from its own comparison population. Where a reader's own financing sits inside the panel, the reader should net it out of the relevant cell before drawing a comparison, and should note that the cell counts published here include it. A reader whose financing closed inside the window running to 31 March 2026 should assume it may be in the panel unless the reader's counsel confirms otherwise.

Segment cuts rest on smaller populations than the headline and should not be combined. Reading a stage cut and a sector cut together does not produce a stage-and-sector cell, and no such cell is published in the First Quarter 2026 Edition because the resulting counts would fall below the thirty-observation minimum.

Nondisclosure limits every field differently. The disclosure rates in section 3.3 are the correct basis on which to judge how much weight a field can bear, and a field disclosed in four fifths of the sample supports a weaker inference than one disclosed in almost all of it. In the First Quarter 2026 Edition the strongest fields rest on 1,272 observations and the weakest on fewer than four fifths of the sample, and the gap between them is not uniform across stages.

This edition reports the window closing on 31 March 2026. A reader comparing financing terms as at a different date should consult the edition whose measurement window closes nearest that date, and should cite the edition, its publication date and its window close date together.

8.1 Definitions

The definitions below state the meaning of each term as it is used in the First Quarter 2026 Edition. Where a term has more than one accepted meaning in market practice, the definition given is the one this survey applies, and a reader should not import a different usage from another publication.

Two definitions govern the arithmetic of every table: usable observation and nondisclosure. Together they determine which observations enter a statistic and which are excluded from its denominator, and they are the definitions a reader checking a figure in this edition should read first. Both definitions apply unchanged in the First Quarter 2026 Edition, and any change to either would be disclosed in the change history for the edition in which it took effect.

Table 8.1 - Definitions of terms used in this survey

Term	Definition as used in this survey
Coded field	A term the publisher records in structured form. A field is coded only where the source document states the term expressly; an inference from surrounding language is not coded.
Contributing firm	A law firm or investor that supplies financing documents to the panel under the publisher's contribution agreement. Contributors receive the published edition and no underlying data.
Cumulative sample	All usable observations inside the current rolling window, including observations first contributed after an earlier edition was published.
Disclosure rate	Usable observations in which a field is disclosed, divided by all usable observations in the edition. Published for every coded field

Term	Definition as used in this survey
	so that each denominator is visible.
Financing date	The date of the initial closing of the financing. Where a financing closed in tranches, the initial closing determines the vintage in which the observation sits.
Geography screen	The screen limiting the population to financings of issuers organized in the United States with their principal operations in the United States or Canada.
Median	The middle value of the usable observations for a field, reported with the count of those observations. A median is not published where fewer than thirty observations are usable.
Nondisclosure	The absence of a stated term in the source document. Nondisclosure is excluded from the denominator for that field and is never counted as the absence of the term.
Observation	One financing of one issuer. A financing with multiple closings is a single observation; an issuer completing two financings inside the window contributes two.
Outlier	An observation whose coded value lies outside the range the publisher's editorial committee regards as economically possible. Outliers are re-read against the source before exclusion.
Panel	The set of contributing firms whose documents are eligible for coding in an edition. Panel membership changes are disclosed in the change history of the edition in which they occur.
Partition	A group of rows whose numerators sum to their shared denominator. Partitioned rows are identified in the note column so that a reader can verify the arithmetic.
Priced round	A financing in which shares of a series of preferred stock are issued at a stated price. Convertible notes and future-equity agreements are outside the population.
Quartile	The value below which one quarter or three quarters of usable observations fall, reported with the count of those observations.
Related-party financing	A financing in which every purchaser held securities of the issuer before the financing. Related-party financings are coded and reported separately, not blended into the headline.
Rolling window	The eight consecutive quarters ending with the quarter named in the edition title. The window advances by one quarter with each edition.
Sector mapping	The assignment of an issuer to one of six sectors on the basis of the product it sells rather than the technology it employs. Mapping changes are disclosed in the change history.
Segment cut	A restatement of a frequency over a subset of the sample. Each cut carries its own usable observation count, which is smaller than the headline count.
Stage screen	The screen assigning an observation to a stage on the basis of the series designation in the issuer's charter, not on the issuer's revenue or age.
Subject transaction	A financing a reader is analyzing. A subject transaction is excluded from its own comparison population; where the reader's own financing sits in the panel, the reader should net it out.
Term movement	A change in a frequency between editions after holding sample composition constant. Movement is distinguished from composition change in the trend commentary.
Tier	The source classification of an observation, running from an executed definitive document to a counsel-confirmed summary. Tier determines which fields may be coded.
Usable observation	An observation surviving the population, stage and geography screens and the duplicate and outlier review. Only usable observations enter any published statistic.
Vintage	The calendar quarter or half-year in which an observation's initial closing occurred. Vintage cuts are how a reader separates term movement from window advance.

9. Contributor panel and comparability with other sources

The panel behind the First Quarter 2026 Edition comprises 131 contributing firms in seven categories. The table below gives the number of firms and the number of usable observations each category contributed, its share of the sample, and a note on what that category typically supplies.

Law firms contribute the majority of observations and almost all of the definitive documents. Investor contributors supply their own lead financings only, which is why an investor category with few firms can still account for a material share of the 1,309 observations in this edition.

Panel composition shapes the sample. The concentration of regional and boutique firms is the reason the seed and Series A cuts are as large as they are in the First Quarter 2026 Edition, and the small growth equity category is the reason the latest stage cut is the smallest published.

A frequency published by another provider will differ from the frequency published here even where both are competently prepared. The population screens differ, the treatment of nondisclosure differs, and the measurement windows close on different dates. None of those differences is an error in either publication. The First Quarter 2026 Edition closed its window on 31 March 2026, and a provider closing on a different date is describing a different set of financings even where its screens match these.

The treatment of nondisclosure is the difference that matters most. A provider counting silence as absence will report a lower frequency for every optional term than the First Quarter 2026 Edition reports, and the gap will be widest in exactly the fields whose disclosure rates are lowest here.

A reader reconciling two sources should compare the denominators before comparing the percentages. Where the other source does not publish its denominators, the comparison cannot be made, and this survey would rather a reader knew that than drew the comparison anyway. The First Quarter 2026 Edition publishes a denominator beside every percentage precisely so that the comparison remains available to a reader who wants to make it.

Kessler Ward Research does not adjust its figures to reconcile with any other publication. The First Quarter 2026 Edition reports what the panel's 1,309 usable observations show, and the change history states every reason a figure in it differs from the same figure in the Fourth Quarter 2025 Edition.

Four firms joined the panel for this edition and one investor contributor withdrew after a change in its own confidentiality policy. The withdrawing contributor's instruments remain coded for the vintages in which they were contributed, because the contribution agreement permits retention of observations already published, and the net effect on the panel count is stated in the table below.

Table 9.1 - Contributor panel composition, First Quarter 2026 Edition

Contributor category	Contributing firms	Usable observations	Share of the sample	Note
National law firms with a venture practice	33	478	36.5%	Contribute definitive documents in full across every stage
Regional and boutique venture law firms	48	399	30.4%	The largest source of seed and Series A observations
Multi-stage venture funds	27	228	17.4%	Contribute their own lead financings only, not those of co-investors
Seed-stage funds	13	108	8.2%	Contribute term sheets more often than definitive documents
Corporate venture arms	7	58	4.4%	Their observations are checked for strategic terms coded outside the schedule
Growth equity investors	2	29	2.2%	Concentrated in the two latest stage cuts
Other contributors	1	9	0.6%	A single family office contributing under the standard agreement
All contributors	131	1,309	100.0%	Panel as constituted at 31 March 2026